

NexaTel Customer Retention Management Summary

Prepared for	Chief Customer Officer, NexaTel
Prepared by	Archana Arya
Report date	13 September 2026
Decision focus	Reduce preventable churn and protect recurring revenue

Executive Summary

NexaTel retains most of its customer base, with a retention rate of 81.55%, but the 18.45% churn rate still represents meaningful pressure. Risk is concentrated among customers in their first six months, where churn is about 67%, and in the Mass segment, where churn is about 27%. In March 2026, 196 customers churned, representing approximately INR 186,179 in monthly revenue lost based on March ARPU of INR 949.89. Service performance also requires attention: 44.31% of complaints remain unresolved, first-contact resolution is 40.41%, and average resolution time is 16.04 hours. Network experience varies by state, and higher dropped-call rates sometimes appear alongside higher churn, although the pattern does not prove that dropped calls caused the churn. Overall, retention effort should focus on new Mass and Value customers, faster complaint recovery, and targeted outreach to high-revenue customers.

Key Retention Indicators

Indicator	Current result	Management meaning
Customer retention rate	81.55%	Most customers remain, but the gap to full retention is material.
Customer churn rate	18.45%	Nearly one in five customers in the measured base is classified as churned.
March 2026 churned customers	196	Churn volume reached its highest point in the dashboard period.
March 2026 revenue lost	INR 186,178.64	This is the clearest immediate revenue exposure.
First-contact resolution	40.41%	Most customer issues are not closed on the first contact.
Unresolved complaints	44.31%	A large open backlog increases the chance of customer frustration.

Top 3 Findings

1 Early Tenure Is the Largest Churn Driver

Customers in their first 0 to 6 months have a churn rate of about 67%, far above every later tenure band. This points to an onboarding and early-experience problem: customers are most vulnerable before they have established a stable relationship with NexaTel.

2 Churn Is Concentrated in the Mass Segment

The Mass segment has the highest churn rate at about 27%, followed by the Value segment at about 21%. These groups combine higher churn with meaningful revenue exposure, making them the best starting point for targeted retention activity.

3 Service and Network Friction Add Retention Pressure

Only 40.41% of complaints are resolved on the first contact, 44.31% remain unresolved, and the average resolution time is 16.04 hours. Mizoram shows the highest state churn rate at about 30%, and the state comparison suggests that higher dropped-call rates can coincide with higher churn; this should be investigated as an association, not treated as proven cause.

Risks Identified

Risk	Evidence	Why it matters
Early customer loss	About 67% churn in months 0 to 6	New-customer acquisition spending is not fully converted into lasting revenue.
Service recovery gap	44.31% unresolved; 40.41% first-contact resolution	Customers may repeat contacts, lose confidence, and become more likely to leave.
Current revenue exposure	196 churned customers and INR 186,178.64 lost in March 2026	The financial impact is already visible and can grow if churn continues.
Regional concentration	Mizoram churn is about 30%	A small number of markets may require focused service and network action.

Opportunities

- Protect the first six months with planned welcome, usage, and support contacts at days 7, 30, 60, and 90.
- Prioritize active Mass and Value customers with 12 months or less tenure, starting with the highest March revenue accounts.
- Use retention campaigns to protect revenue, comparing both retention share and total customers contacted before moving budget.

Recommendations

- 1. Launch a 90 day onboarding retention program.** Give new Mass and Value customers scheduled check-ins, simple setup guidance, and rapid help when usage or payment behavior signals difficulty. **Measure: Track churn for 0 to 6 month customers each month and compare participants with a similar group that did not receive the program.**
- 2. Create a complaint recovery queue.** Assign one owner to unresolved complaints older than 24 hours and require a customer update until closure. Start with high-revenue and early-tenure customers. **Measure: Proposed 90-day targets are unresolved complaints below 35% and first-contact resolution at or above 50%.**
- 3. Act on the revenue at risk watchlist.** Review the highest-revenue active Mass and Value customers with 12 months or less tenure every week. Give frontline teams a clear next action, approved offer, and follow-up date for each customer. **Measure: Report customers contacted, offers accepted, retained revenue, and 30-day status.**
- 4. Investigate regional service hotspots.** Begin with Mizoram and states that combine high churn with high dropped-call rates. Customer care and network teams should review complaints, coverage, outages, and local capacity together before choosing corrective work. **Measure: Track churn, dropped-call rate, complaint volume, and resolution time by state after each intervention.**
- 5. Improve campaign decisions.** For each retention campaign, compare retention rate, number contacted, offer cost, and revenue protected. Test changes with a comparable control group before shifting spend to the strongest campaign. **Measure: Use revenue protected per customer contacted as the primary business measure.**

Management Priorities for the Next 90 Days

Timing	Management action	Accountable team
Days 1 to 30	Confirm owners, publish the early-tenure watchlist, and start the unresolved-complaint recovery queue.	Customer Care and Retention
Days 31 to 60	Start onboarding outreach and regional hotspot reviews; establish a weekly revenue-at-risk meeting.	Retention, Network, and Regional Operations
Days 61 to 90	Compare results with baseline groups, keep effective actions, and redirect campaign spend using revenue protected.	Chief Customer Officer and Finance

Measurement Notes

Campaign counts should not be interpreted as campaign effectiveness on their own; compare retention rate and revenue protected as well. Customer lifetime value is not included because a gross margin assumption was not available. The regional findings use state-level dashboard measures and should guide investigation rather than prove cause.